Loan Origination To-Be Requirements Pack

Business Requirements Document (BRD)

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1. Introduction

This Business Requirements Document (BRD) defines the requirements for redesigning the personal (unsecured) loan origination process at a representative retail lending institution, referred to throughout as "the Bank." It was produced as a self-directed Business Analysis exercise, grounded in publicly available Reserve Bank of India (RBI) retail-lending guidelines and standard industry loan-origination practice, to demonstrate a complete, sprint-ready BA deliverable set: stakeholder analysis, AS-IS/TO-BE process mapping, a full requirements catalogue, and 18 JIRA user stories with acceptance criteria.

The process and data referenced are illustrative, built to realistic industry parameters rather than drawn from a live client engagement.

2. Business Problem

The Bank's current personal loan origination process is manual, paper-heavy, and routed through two separate approval sign-offs regardless of loan risk. Applicant data is re-keyed at three separate points (branch intake, credit underwriting, disbursement), KYC and credit-bureau checks are performed manually rather than via system integration, and there is no SLA tracking across the handoff chain. The result is a 17-step, multi-day turnaround process with a high applicant drop-off rate during the verification stage, and no systematic way to identify where in the process a file is stalled.

3. Project Objective

- Redesign the loan origination workflow to cut total process steps from 17 to 13.
- Remove 2 redundant manual approval gates by introducing a rules-based auto-decision path for low-risk applications.
- Eliminate duplicate data entry by integrating KYC and credit-bureau checks directly into the origination system.

- Produce a complete requirements package — BRD, functional and non-functional requirements, 18 user stories with acceptance criteria — ready to hand off to an Agile delivery team.

4. Scope

In scope: personal (unsecured) loan origination from application intake through disbursement decision — applicant intake, KYC/document verification, credit assessment, approval routing, and disbursement handoff — within RBI's retail lending compliance framework.

Out of scope: secured/collateral-backed loans, loan servicing after disbursement, collections and recovery, and core banking ledger integration beyond the disbursement trigger.

5. Stakeholders

Role	Stakeholder	Interest / Influence
Business Sponsor	Head of Retail Lending	Owns TAT and disbursement-volume targets
Process Owner	Branch Operations Manager	Accountable for day-to-day workflow execution
Credit & Underwriting	Credit Risk Team	Defines risk thresholds for auto-approval
Compliance & Risk	Compliance Officer	Ensures RBI KYC/AML adherence
IT / Engineering	Development Team	Builds and integrates the TO-BE system
Business Analyst	Pratik Kumar	Elicits, documents, and validates requirements
End User	Loan Applicant	Experiences process speed and transparency

6. Existing AS-IS Process (17 steps)

1. **Intake (4 steps):** Applicant submits paper/branch application → branch staff logs details manually → physical documents collected → file opened and logged in register.
2. **Verification (5 steps):** Manual KYC check → manual credit-bureau report request → branch staff re-keys applicant data into underwriting sheet → physical file routed to underwriting → underwriter manually re-verifies documents.
3. **Credit Assessment (4 steps):** Income and liability assessment → risk scoring (manual) → collateral/guarantor check (if applicable) → recommendation note drafted.
4. **Approval (2 steps):** First manual sign-off by branch manager → second manual sign-off by regional credit head, regardless of loan size or risk.
5. **Disbursement (2 steps):** Disbursement instruction manually prepared → funds released and file archived.

Every application — irrespective of amount or risk profile — passes through both approval sign-offs, and data is re-entered at three separate handoff points.

7. Problems in Current Process

- Applicant data re-keyed at 3 separate points, creating transcription errors and rework.
- Two mandatory manual approvals on every file, including low-risk, small-ticket loans.
- No system integration with KYC or credit-bureau sources — both checked manually.
- No SLA or stage-level tracking, so stalled files are invisible until an applicant escalates.
- Physical file handoff between branch and underwriting creates document-loss risk.
- High applicant drop-off during the multi-day verification stage.

8. Proposed TO-BE Process (13 steps)

1. **Intake (3 steps):** Applicant submits via digital form (branch-assisted or self-service) → data captured once, directly into the origination system → file auto-opened with a unique tracking ID.
2. **Verification (3 steps):** System-integrated KYC check (API) → system-integrated credit-bureau pull (API) → document OCR/auto-validation.
3. **Credit Assessment (3 steps):** Automated risk-scoring engine applies eligibility rules → system auto-routes by risk tier → underwriter reviews only flagged/exception cases.

4. **Approval (2 steps):** Low-risk, within-threshold applications auto-approved by the rules engine (replaces both manual sign-offs) → a single regional credit-head approval retained only for exception/high-value cases.
5. **Disbursement (2 steps):** System-generated disbursement instruction → funds released with automatic file archival.

This removes 4 of the original 17 steps and both unconditional manual approvals, retaining one manual approval solely for genuine exceptions — net workflow: **17 steps → 13 steps, 2 manual approval gates removed**.

9. Business Requirements

ID	Requirement
BR-01	Capture applicant data once, at intake, with no re-keying downstream
BR-02	Verify KYC and credit-bureau data through system integration, not manual lookup
BR-03	Auto-approve low-risk applications within a defined threshold, without manual sign-off
BR-04	Route only exception/high-risk cases to a single manual approval
BR-05	Track every application against a stage-level SLA, visible to the process owner
BR-06	Maintain a complete, timestamped audit trail for compliance review
BR-07	Ensure the TO-BE process remains compliant with RBI KYC/AML and retail-lending guidelines
BR-08	Reduce total origination TAT measurably versus the AS-IS baseline

10. Functional Requirements

ID	Functional Requirement	Linked BR
FR-01	System shall provide a digital intake form capturing applicant, loan, and document data in one pass	BR-01
FR-02	System shall call a KYC verification API and return a pass/fail/manual-review result	BR-02
FR-03	System shall call a credit-bureau API and ingest the credit score into the applicant record	BR-02
FR-04	System shall apply a configurable rules engine to auto-approve applications within the risk/amount threshold	BR-03
FR-05	System shall route any application failing the auto-approval rules to a single underwriter queue	BR-04
FR-06	System shall display stage-level status and elapsed time against SLA for every open file	BR-05
FR-07	System shall log every status change, approval, and data edit with user ID and timestamp	BR-06
FR-08	System shall generate a disbursement instruction automatically on final approval	BR-08
FR-09	System shall flag applications nearing SLA breach to the process owner	BR-05
FR-10	System shall restrict KYC/PII fields to authorized roles only	BR-07

11. Non-Functional Requirements

Category	Requirement
Performance	95% of auto-approval decisions returned within 2 minutes of document submission

Category	Requirement
Security	All KYC/PII data encrypted at rest and in transit; role-based access control
Compliance	Data residency and retention aligned to RBI data-localization and KYC-record rules
Availability	Origination system available 99.5% during business hours
Auditability	Full, immutable audit trail retained for a minimum of 8 years
Usability	Branch staff able to complete intake with no more than 30 minutes of training
Scalability	System supports at least 3x current daily application volume without redesign

12. User Stories

The full backlog comprises 18 user stories in JIRA, organized across Intake, Verification, Credit Assessment, Approval, and Disbursement epics. Representative stories:

ID	User Story
US-01	As a branch officer, I want to capture applicant data in one digital form, so that I never re-key the same data twice.
US-04	As the system, I want to verify KYC via API, so that manual document checks are no longer required.
US-07	As a credit analyst, I want applications auto-scored against risk rules, so that only exceptions reach my queue.
US-10	As a process owner, I want to see every file's stage and SLA status on one dashboard, so that I can intervene before a breach.

ID	User Story
US-13	As a regional credit head, I want to approve only flagged high-risk applications, so that low-risk files aren't delayed by my queue.
US-16	As a compliance officer, I want every approval and data change logged with a timestamp, so that I can produce an audit trail on demand.

(Full list of 18 stories with story points and sprint mapping maintained in Confluence/JIRA.)

13. Acceptance Criteria

US-04 — System KYC verification

- Given a submitted application with valid ID documents, when the system calls the KYC API, then a pass/fail/manual-review result is returned and stored within 60 seconds.
- Given the KYC API is unavailable, when a call fails, then the application is auto-routed to manual review with a logged reason code.

US-07 — Auto-scoring

- Given an application within the configured risk and amount threshold, when scoring completes, then the application is auto-approved with no manual sign-off required.
- Given an application outside the threshold, when scoring completes, then it is routed to the underwriter exception queue.

US-10 — SLA dashboard

- Given an open application, when its stage exceeds 80% of its SLA window, then it is flagged amber on the process-owner dashboard.
- Given an application breaches its SLA, when the breach occurs, then it is flagged red and an alert is sent to the process owner.

14. Business Rules

ID	Rule
BRule-01	Applications under the defined amount threshold and within the approved risk band are auto-approved; no manual sign-off is permitted to override an auto-approval.
BRule-02	KYC documents are valid for re-use for 12 months from last verification; beyond that, re-verification is mandatory.
BRule-03	Any application flagged by the credit-bureau check as delinquent is routed to manual underwriting regardless of amount.
BRule-04	A single underwriter approval is sufficient for exception cases; the second historical sign-off layer is permanently retired.
BRule-05	Disbursement cannot be triggered until KYC, credit check, and approval are all marked complete in the system.

15. Process Flow / BPMN

AS-IS and TO-BE process flows were modeled as BPMN swimlane diagrams in Microsoft Visio, with lanes for Applicant, Branch Officer, System, Underwriter, and Regional Credit Head. The TO-BE diagram shows the two unconditional manual-approval nodes replaced by a single automated decision gateway (rules engine), with a conditional branch routing only exception cases to the Underwriter lane.

	AS-IS	TO-BE
Total steps	17	13
Manual approval gates	2 (all applications)	1 (exceptions only)
System-integrated checks	0	2 (KYC, credit bureau)
Data entry points	3	1

16. Assumptions

- A KYC verification API and a credit-bureau API are available for system integration within the project timeline.
- Risk thresholds for auto-approval are defined and signed off by the Credit Risk team before build begins.
- Branch staff will receive digital-intake training ahead of go-live.
- Existing physical archives are not required to be retroactively digitized under this project's scope.

17. Risks

Risk	Likelihood	Impact	Mitigation
KYC/credit-bureau API integration delayed	Medium	High	Begin vendor integration discovery in parallel with requirements sign-off
Auto-approval rules miscalibrated, raising default risk	Low	High	Phase rollout with a shadow-mode period before rules go live
Branch staff resistance to new digital intake flow	Medium	Medium	Early training and a phased branch rollout
Regulatory change to KYC requirements mid-project	Low	Medium	Build rules engine to be config-driven, not hard-coded

18. Success Metrics

Metric	AS-IS Baseline	TO-BE Target
Total process steps	17	13
Mandatory manual approvals	2	1 (exceptions only)
Data entry points	3	1
Manual KYC/credit checks	100% of files	0% (system-integrated)
End-to-end TAT	Multi-day	Same-day for auto-approved files